

UVIG

Sector Report: Consumer Discretionary

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Sector Overview

The consumer discretionary sector consists of companies that offer non-essential goods and services. Goods in this industry are largely elastic and subject to changes in consumer purchasing power. Some products and services produced by the sector include furniture, appliances, vacation and leisure activities, apparel, vehicles, and electronics. The sector excludes essential products like food, beverages, and, household goods, which are categorized separately under consumer staples. Unlike consumer staples, which offer necessities, discretionary products are often tied to lifestyle and leisure preferences.ⁱ

Market Size & Segmentation

The global consumer discretionary market is valued at approximately \$13.66 trillion USD.ⁱⁱ Based on the MSCI World Consumer Discretionary Index, the 10-year compound annual growth rate (CAGR) is 9.91%, with a one-year growth rate of 19.34%^{xvii}. In Canada, the market size is 139.94 billion (USD),ⁱⁱⁱ with the S&P/TSX Capped Consumer Discretionary Index having a 10-year CAGR of 7.00% and a one-year growth rate of 18.42%.^{xviii}

Top Competitors

- **Amazon:** Global e-commerce and cloud computing company, operating through online retail, third-party marketplaces and AWS cloud services.
- **McDonald’s:** Fast food chain selling burgers, fries, and beverages, operating as a global franchisor with most of its restaurants owned and run by independent franchisees.
- **Nike:** Athletic apparel and footwear company, operating globally through direct-to-consumer retail, e-commerce and partnerships with athletes.
- **Tesla:** Electric vehicle company, operating as both a manufacturer and direct-to-consumer retailer through its own stores and online platform^{iv}.

Market Drivers & Trends

Consumer Discretionary Trends

Widespread digitization has reshaped the consumer discretionary sector by changing the way consumers shop and how businesses understand their customers. E-commerce, mobile apps, and digital platforms have made shopping more convenient and personalized.^v Companies use tools such as data analytics and artificial intelligence to track consumer preferences and tailor marketing strategies. The sector remains highly cyclical; however, digitization has helped firms adapt and soften the effects of major market disruptions. Looking ahead, continued innovation and digital integration will be key in shaping the future of the consumer discretionary sector.^{vi}

Macroeconomic & Policy Drivers

The consumer discretionary sector is highly sensitive to macroeconomic and geopolitical policy effects. GDP growth boosts disposable income, encouraging spending on non-essential goods, while high interest rates and inflation reduce consumer demand by raising borrowing costs and prices. Consumer sentiment, employment and wages also play a key role, where consumer optimism drives spending, and uncertainty leads to caution, reducing demand for consumer discretionary products. Geopolitical tensions, such as trade wars, tariffs or global conflicts disrupt supply chains and increase costs, directly affecting consumer spending. Lastly, policy changes in trade, taxation, and regulation can shift costs and consumer access, directly impacting discretionary spending. Overall, the sector thrives in stable, growth-oriented environments and contracts during economic or geopolitical instability.^{vii}

Figure 1: Sector Breakdown

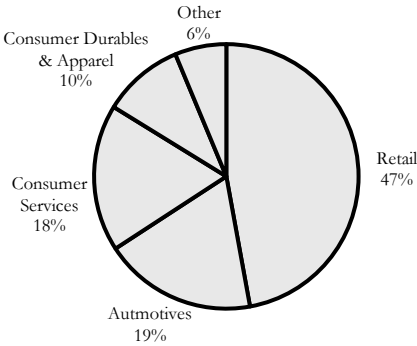


Figure 2: Sector Size & Growth

Sector Size (\$T)
13.66 USD
Sector CAGR (10-Year)
9.91%

Figure 3: Top Competitors

Amazon (NASDAQ: AMZN)
McDonald’s (NYSE: MCD)
Nike Inc. (NYSE: NKE)
Tesla (NASDAQ: TSLA)

Technology & Consumer Trends

Within the consumer discretionary sector, the targeted customer base includes middle and high-income individuals. More specifically, it includes individuals who purchase non-essential goods and services in the following: food & beverage, retail, automobile, household appliances, technology and travel industries. Consumer behaviour is influenced by an individual's willingness to spend, wage, prices of essential goods, trends and business cycles.^{viii} For the past decade, the sector has had an annual growth rate of 10% through innovation and digitization, including e-commerce and streaming services such as Amazon Prime, Netflix, HBO Max and more.^{ix}

Emerging Themes

A recent trend in the markets for the consumer discretionary sector is the application of AI in the customer service, supply chain management, and marketing initiatives of companies. Many companies are pushing to adopt some form of AI in their operations as it allows them to remain competitive, keep up with market standards and grow profits.^x For instance, companies like North Face, Uniqlo, and Amazon use AI-powered customer recommendation, cashiers and inventory tracking.^{xi} Aside from AI, sustainability has also become a trend in the industry. According to a PWC survey, 80% of candidates claim they are willing to increase their weekly spending to support locally and sustainably sourced goods.^{xii} In turn, 90% of the S&P companies have started publishing ESG reports in 2025, and around 71% of chief executives have taken the initiative to develop environmentally friendly operations.^{xiii}

Capital Markets & M&A Activity

Recent M&A Transactions

For the first half of 2025, M&A activity in the consumer discretionary sector has seen a large decline. Market activity has declined by 9%, and 30% of the deals on the market have been set for revision or paused globally. This can be explained through the recent US tariffs, regulations, and policies that have sparked international tensions.^{xiv} However, an important deal to note took place on August 13th, where the Canadian activewear company Gildan acquired Hanesbrands, an American innerwear firm, for \$2.2B USD.^{xv} The deal was structured as a cash-and-stock transaction involving a stock swap in which over 370k shares were bought at \$6.90 per share.^{xvi} Other notable deals that have commenced this year include Dick's Sporting Goods acquiring Footlocker for \$2.4B and Pepsi acquiring emerging beverage brand Poppi for \$1.95B, both of which were targeted at consolidation, operational and brand improvement.

Deal Drivers

As of 2025, M&A activity has slowed down in many industries due to trade tensions and a notable elevated interest rates in the United States. From a Canadian survey, around 67% of respondents claim their interest in M&A deals has decreased. However, potential synergies arise as new technology advancement such as AI tools and cybersecurity have pushed companies to integrate AI within their business. From the same survey, 51% of companies reported acquiring an AI company in 2025 and 33% were recorded looking from an AI M&A.^{xvii} This is because many companies have turned to AI to increase productivity and profit through automating basic tasks, summarizing heavy datasets, assisting clients and more.^{xviii} Additionally, with the digitization and subsequent increase in internet access year over year,^{xix} brands are actively pursuing tech focused consolidation deals around the globe.^{xx}

Capital Markets Activity

The clothing and restaurant industry have been leading the consumer discretionary IPO market, bringing a 5% surge despite political conditions.^{xxi} A key IPO in March was MIXUE, a Chinese beverage chain, which sold 17 million shares at \$202.5 HK or \$36, gathering a total of \$444 million USD or \$610 million CAD. The company experience a 47% growth since the IPO, increasing the HIS by 1%.^{xxii} In PE, investments are low given high interest rates and uncertainty at the beginning of 2025.^{xxiii} Experts claim that the sector has been declining given the growth of e-commerce, current change of trends and the decline of mid-size firms.^{xxiv} As for venture capitalists, the market has also been volatile given economic conditions, investors have high uncertainty but remain confident taking risks.^{xxv} For instance, in 2024, Best Night VC backed Jägermeister with the campaign of connecting culture and technology.^{xxvi} Lastly, private credit has continued to be a secondary financing option, apart from banks, which has continued to be an underlying theme in the market as a whole, subsequently providing riskier companies access to financing avenues.

Investment Outlook & Implications

Growth Forecast

The consumer discretionary sector outlook is subject to macro-driven uncertainty. The sector’s 5-year forward CAGR is 1.47%.^{xxvii} This pessimistic outlook stems from weakened consumer spending, poor U.S. labour market^{xxviii} and recent tariff tensions.^{xxix} Potential growth drivers include the automotive and housing sectors, as potential interest rate cuts would lead to increased borrowing. The current rates benefit the home-improvement industry, as unattractive borrowing rates and elevated housing prices make renovations more attractive than purchasing new homes.^{xxx}

Sector Risks:

- **Interest rates:** Higher interest rates decrease consumer purchasing power.
- **Labour market:** Weak labour markets constrain overall household income.
- **Tariffs:** Tariffs increase input costs, which are passed to consumers.
- **Inflation:** Higher inflation erodes consumer purchasing power.

Investor Sentiment

The consumer discretionary sector is cautious, driven by high credit risk and a pessimistic growth outlook. In Q2 of 2025, the sector led all sectors in the number of corporate bond rating downgrades over the quarter, ranking high on other measures of risk. The recent US tariff policies negatively impacted supply chains and sales forecasts^{xxxi}. Progressing forward, investor sentiment will be affected by consumer purchasing power and inflation, which will favor consumer staples over discretionary.

Public Equity Landscape

Amazon.com Inc (NASDAQ: AMZN)

Amazon.com Inc is a multinational American technology company, focused on e-commerce, cloud computing, digital streaming and AI. While the long-term outlook for the company is positive, the company’s short-term outlook is cautious, given the aforementioned recent macroeconomic tumult and its effect on discretionary consumer spending. Amazon has a trailing price-to-earnings ratio (PE) of 35.1x, and the company has a market cap of 2.8 trillion USD.

McDonald’s Corporation (NYSE: MCD)

McDonald’s Corporation is a multinational American fast-food chain. Like Amazon, the short-term outlook for Macdonald’s is cautious, dependant on fluctuations in consumer spending. However, McDonald’s recently launched a DoorDash-powered platform to simplify the “McDelivery” ordering process. The move uses DD’s existing delivery network, offering MacDonal’d’s an opportunity to increase order volume. McDonald’s has a trailing PE ratio of 26.8x and a market cap of 225 billion USD.

Figure 3: US Consumer Price Index

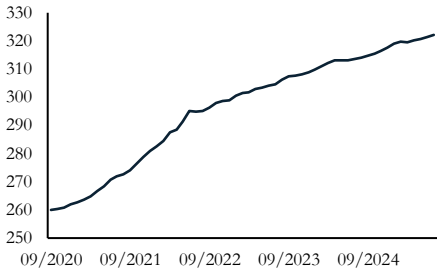


Figure 4: Consumer Sentiment Index



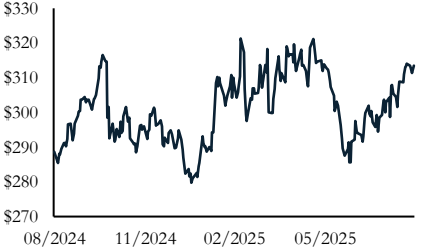
Figure 5: US Economic Optimism



Figure 6: Amazon LTM Stock Chart



Figure 7: McDonald’s LTM Stock Chart



Nike Inc. (NYSE: NKE)

Nike is a multinational American sport and athleticwear brand. The company has experienced a 24% drop in its share price over the past 3 years. Going forward, the outlooked is mixed. Some believe the company is undervalued and set for a recovery given the company’s ambitious expansion plans and lofty profit forecasts. Others believe that slowing sales in China and growing competition from brands such as Hoka, Adidas, and many more activewear brands will continue the company’s turmoil. Nike has a trailing PE of 37.2x and a market cap of 114 billion USD.

Tesla Inc. (NASDAQ: TSLA)

Tesla is a multinational American automotive and clean energy company. The company holds weak optimism, with a recent Tweet from CEO Elon Musk touting the company’s soon-to-drop self-driving update and a new model recently launching in China. Musk, however, has also warned investors of a “few rough quarters.” Earnings are on track for their third straight annual decline. Tesla’s trailing PE is 176.1x and has a market cap of 1.09 trillion USD.

Figure 7: Nike LTM Stock Chart



Figure 9: Tesla LTM Stock Chart



Valuation Summary

Amounts in USD									
Company	Ticker	Price	Market Cap. (\$B)	Enterprise Value (\$B)	P/E	Enterprise Value		EBITDA	Debt
						EBIT	EBITDA	Margin (%)	EBITDA
Apparel & Footware									
Nike Inc.	NYSE: NKE	\$77.37	\$114	\$117	37.2x	31.7x	25.9x	10%	2.3x
Lululemon Athletica Inc.	NYSE: LULU	\$202.20	\$25	\$26	14.0x	10.2x	8.6x	28%	0.6x
Under Armour Inc.	NYSE: UAA	\$5.00	\$2	\$3	21.2x	14.0x	8.7x	7%	5.2x
Adidas AG	ETR: ADS	\$194.27	\$35	\$40	25.5x	20.2x	12.3x	12%	2.0x
Resturants									
McDonald's Corp	NYSE: MCD	\$313.54	\$225	\$265	26.8x	22.0x	21.2x	48%	3.3x
Chipotle Mexican Grill Inc.	NYSE: CMG	\$42.14	\$57	\$60	36.6x	30.6x	26.0x	20%	2.1x
Restaurant Brands International Inc.	TSE: QSR	\$63.23	\$29	\$45	23.9x	19.2x	17.0x	29%	5.9x
Yum! Brands Inc.	NYSE: YUM	\$146.97	\$41	\$52	28.5x	20.4x	18.7x	36%	4.4x
E-commerce & Retail									
Amazon.com Inc.	NASDAQ: AMZN	\$229.00	\$2475	\$2516	35.1x	142.7x	33.0x	11%	1.8x
Shopify Inc	TSE: SHOP	\$141.03	\$183	\$179	78.2x	139.4x	136.0x	13%	0.9x
Home Depot Inc.	NYSE: HD	\$406.31	\$404	\$487	19.9x	16.2x	14.1x	15%	2.1x
Lowe's Companies Inc.	NYSE: LOW	\$258.74	\$145	\$186	15.2x	13.0x	11.0x	14%	2.8x
Automotive									
Tesla Inc.	NASDAQ TSLA	\$333.86	\$1078	\$1051	176.1x	181.8x	91.3x	12%	0.7x
General Motors Co.	NYSE: GM	\$58.59	\$56	\$162	11.4x	14.5x	7.1x	12%	5.9x
Ford Motor Co.	NYSE: F	\$11.77	\$47	\$167	14.8x	53.2x	15.7x	6%	14.8x
Volkswagen Group	VTR: VOW3	\$99.98	\$50	\$295	4.8x	11.7x	4.9x	17%	5.0x
25th Percentile					15.1x	14.4x	10.5x	12%	1.9x
Mean					35.6x	46.3x	28.2x	18%	3.7x
Median					24.7x	20.3x	16.4x	14%	2.6x
75th Percentile					35.5x	37.1x	25.9x	22%	5.1x

Resources

- i [What Is Consumer Discretionary? Definition in Economic Indicators](#)
- ii [Global stock market value by sector 2025| Statista](#)
- iii <https://disfold.com/canada/sector/consumer-discretionary/>
- iv [Top Consumer Discretionary Stocks Of 2025 – Forbes Advisor](#)
- v [Digital spending behavior | Deloitte Insights](#)
- vi [How Technology Is Impacting Customer Buying Habits And Market Research](#)
- vii [Geopolitical risks and their implications for consumer expectations and spending | CEPR](#)
- viii [Consumer Discretionary Sector: Industries Snapshot](#)
- ix [Consumer Discretionary Sector](#)
- x [What is AI in retail?](#)
- xi [The 20 Best Examples Of Using Artificial Intelligence For Retail Experiences](#)
- xii [Consumers willing to pay 9.7% sustainability premium, even as cost-of-living and inflationary concerns weigh: PwC 2024 Voice of the Consumer Survey](#)
- xiii [50 sustainability statistics you need to know in 2025.](#)
- xiv [Global M&A industry trends](#)
- xv [Gildan Activewear - M&A Summary and Business Overview](#)
- xvi [Gildan makes US\\$2.2B move to buy HanesBrands](#)
- xvii [Global M&A trends and risks 2025 - M&A Outlook](#)
- xviii [Superagency in the workplace: Empowering people to unlock AI's full potential.](#)
- xix [Internet Growth](#)
- xx [PWC Deal Trends](#)
- xxi [How can you shape uncertainty into opportunity for your IPO?](#)
- xxii [China bubble tea chain Mixue pops 47% on debut as Hong Kong IPO volumes rebound](#)
- xxiii [U.S. Private Equity Market Recap - March 2025](#)
- xxiv [Consumer Retail Private Equity: Barbarians at the Gate, or Tech Bros on a Shopping Spree?](#)
- xxv [Institutional Investor Indicators: July 2025](#)
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